

Discount Policy

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1. Purpose

This document defines the approval thresholds and process for offering discounts beyond standard published pricing.

2. Discount Approval Tiers

Discount Range	Approver Required
0% - 10%	Sales Representative (self-approved)
11% - 20%	Sales Manager
21% - 35%	Sales Director
36%+	VP of Sales + Finance sign-off

Discounts apply to the total contract value (TCV), not just the first-year value. All discounts of 11% or higher must be logged in the CRM with a documented business justification.

3. Pre-Approved Discount Scenarios

The following scenarios are pre-approved up to 15% without needing manager sign-off, provided they are logged in the CRM:

- Non-profit or educational institution customers.
- Annual pre-payment (in addition to the standard annual discount in the Pricing Policy).
- Competitive displacement deals with signed proof of an active contract with a named competitor.

4. Prohibited Practices

- Discounts must never be verbally promised to a customer before formal approval is obtained internally.
- Stacking multiple discount categories beyond a combined 25% requires Sales Director approval regardless of individual tier eligibility.
- Discount approvals are valid for 30 days from issuance; expired approvals must be re-requested.

5. Internal Use Only

This document, including the specific approval thresholds and pre-approved scenarios, is confidential and must not be shared externally with customers or partners, as it directly informs negotiation strategy.

6. Audit

Finance conducts a quarterly audit of all discounts above 20% to confirm proper approval was obtained and documented.